

PBM COMPENSATION · AUDIT WORKSHEET

Five Revenue Streams Flow from Your Plan to Your PBM. *Most Plan Sponsors Track One.*

Three audit passes. Five compensation mechanisms. One contract.

This handout pairs with the Thursday LinkedIn post decoding the five PBM compensation mechanisms (spread pricing, rebate retention, administrative fees, manufacturer-direct payments, PBM-owned-pharmacy margin). Most plan sponsors only track the administrative fee — the smallest of the five streams. The four others are where aggregate compensation actually sits.

01 Identify which mechanisms your contract authorizes

Open your contract. For each of the five mechanisms, find the clause that authorizes (or excludes) it. Spread pricing → pricing methodology clause. Rebate retention → rebate definition + pass-through clauses. Administrative fees → fee schedule. Manufacturer-direct → rebate exclusions. Owned-pharmacy margin → network and routing clauses. Classify each: explicitly authorized, implicitly authorized (silent), or excluded.

02 Estimate the dollar magnitude of each mechanism

For each authorized mechanism, estimate annual dollar magnitude on your plan. Spread = per-claim margin × claim volume. Rebate retention = gross rebate × retention percentage. Administrative fees = per-claim or PEPM × volume. Manufacturer-direct = typically undisclosed (interrogate). Owned-pharmacy margin = specialty routing × per-fill margin.

03 Map the disclosure obligations

For each mechanism, find the contract's disclosure obligation: what reporting must the PBM provide, on what cadence, with what level of detail. Some mechanisms are disclosed quarterly; others are typically not disclosed at all. The disclosure gap is the renewal-leverage item.

04 The Pattern PBS Sees Most Often

Across approximately 100 PBM contract reviews and audits annually at PBS: aggregate PBM compensation typically exceeds the headline administrative fee by a meaningful multiple. The other four mechanisms are where the rest sits. Plan sponsors who only track administrative fees see a small fraction of total PBM compensation.

05 Paste-Ready: Send to Your Broker or PBM

COMPENSATION AUDIT WORKSHEET

Mechanism	Authorized?	Disclosed?	Est. \$/yr
1. Spread Pricing	Y / N / Silent	Y / N / Partial	\$_____
2. Rebate Retention	Y / N / Silent	Y / N / Partial	\$_____
3. Administrative Fees	Y / N / Silent	Y / N / Partial	\$_____
4. Manufacturer-Direct	Y / N / Silent	Y / N / Partial	\$_____
5. Owned-Pharmacy Margin	Y / N / Silent	Y / N / Partial	\$_____

Total Estimated Annual Compensation			\$_____
Headline Administrative Fee (only)			\$_____
Multiple (Total / Headline)			____x

Disclosure gaps to address at renewal:

06 This Quarter's Action Plan

STEP 1 • THIS WEEK

Map authorization for each mechanism

Read the relevant contract clauses. Classify each mechanism as authorized, silent, or excluded.

STEP 2 • WEEK 2

Estimate dollar magnitude per mechanism

Use claims data and the worksheet above. Compare total to the headline fee.

STEP 3 • WEEK 3

Document disclosure gaps

Which mechanisms have no required disclosure? Those are the renewal-leverage items.

STEP 4 • AT RENEWAL

Negotiate disclosure obligations clause-by-clause

A PBM confident in its compensation structure welcomes disclosure. Resistance is informative.